

## AI Governance Architecture: What Exists Today

Brazil has one of the most ambitious AI regulatory efforts in the region, but the gap between policy intent and enforcement capacity is wide and consequential. The table below maps the current governance actors and their roles.

| Actor                                            | Mandate / Role                                                                                                                    | Current Status                                                                                                                                      | Enforcement Power                                                                                   |
|--------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| Congress / AI Bill (PL 2338/2023)                | Comprehensive AI law — risk tiers, transparency obligations, impact assessments, civil liability                                  | Passed Senate Dec 2024; under Chamber of Deputies review. No firm enactment date.                                                                   | Fines up to R\$50M once enacted; currently non-binding                                              |
| ANPD (Data Protection Authority)                 | Designated lead AI regulator under AI Bill; enforces LGPD data rules now; will coordinate the National AI Governance System (SIA) | Newly elevated to independent agency (PM 1.317/2025). Issued 2026–27 priority map covering AI & automated decisions.                                | Active LGPD enforcement; sanctioned INSS, MoH, Meta, X Corp in 2024. AI-specific powers pending law |
| TCU (Federal Court of Accounts)                  | Audits federal government AI use; issued non-binding Ethical Guidelines for AI in Public Administration (July 2024)               | Actively investigating public-sector systems. Audited INSS "Isaac" system. Published guidelines emphasising transparency, fairness, accountability. | Can compel corrective action in public sector; audit findings are public                            |
| Sectoral Regulators (BACEN, ANVISA, ANATEL, CVM) | Develop sector-specific AI guidance within their domains (finance, health, telecoms, capital markets)                             | Early-stage guidance; no sector has comprehensive AI rules. BACEN most advanced on fintech AI.                                                      | Sector-specific enforcement within existing legal mandates only                                     |
| CRIA (AI Regulatory Cooperation Council)         | Inter-agency coordination body created by AI Bill to develop guidelines on worker protection and public-sector AI use             | Proposed in AI Bill; not yet constituted. Details subject to change in Chamber review.                                                              | Coordination only; no independent enforcement mandate                                               |
| Civil Society & Academia                         | Watchdog role: advocacy, independent auditing, litigation, public interest research                                               | Fragmented and underfunded. Coalizão Direitos na Rede and others active but limited capacity.                                                       | No formal enforcement power; influence through advocacy, litigation, and public pressure            |

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|  | Academic AI ethics research growing. |  |
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Brazil's AI governance architecture comprises several overlapping institutions with distinct but partially redundant mandates. Understanding each actor's role, current operational status, and actual enforcement capacity is essential to forming an accurate picture of what governance presently provides:

**Legislative Framework**

Brazil's AI regulation develops through multiple legal layers. The Marco Civil da Internet (2014) established foundational internet governance principles including net neutrality and judicial oversight of content removal. The General Personal Data Protection Law (LGPD, effective 2020) provides comprehensive data protection requirements similar to the EU's GDPR, with ANPD actively enforcing compliance and imposing significant fines. Most significantly, Bill PL 2338/2023, approved by the Senate in December 2024, is now under review in the Chamber of Deputies and expected to pass in 2025. This legislation adopts a risk-based approach to AI regulation, establishing governance requirements, transparency obligations, and controversial copyright protections. The bill's copyright provisions requiring disclosure of training data and creator opt-out rights have generated intense debate between creative communities and technology companies

**The AI Bill (PL 2338/2023)**

The Senate passed Brazil's comprehensive AI Bill on December 10, 2024. The law establishes a risk-tiered classification framework modelled on the EU AI Act, with the most stringent obligations applying to high-risk systems in education, social services, healthcare, recruitment, and biometrics. High-risk system operators would be required to conduct mandatory algorithmic impact assessments before deployment, publish transparency documentation, implement contestability and redress mechanisms, and maintain human oversight of consequential decisions. Penalties reach R\$50 million or 2% of annual revenue (Bill No. 2,338/2023).

The critical qualifier is timing. As of early 2026, the bill remains under Chamber of Deputies review — a special committee was established in April 2025 with a floor vote expected sometime in 2026. Secondary regulations have not been drafted. Until the law is enacted, every obligation it contains is legally voluntary. Furthermore, industry lobbying has already weakened provisions. RSF (2025) raised concerns that the Senate text excluded algorithmic systems influencing information flows from the 'high risk' category, limiting developer accountability. Worker protection provisions were stripped during the Senate process (Coalizão Direitos na Rede, 2024). There is no guarantee the Chamber will restore these protections.

**ANPD: The Designated Regulator**

Brazil's National Data Protection Authority (ANPD) has been designated as the country's primary AI regulator under the AI Bill and was elevated to a fully independent special regulatory agency via PM 1.317/2025 — a significant structural step. ANPD's 2026–2027 priority map explicitly covers AI and automated decision-making, and it has opened proceedings in AI-adjacent cases: sanctioning INSS and the Ministry of Health for LGPD data violations in 2024, and initiating action against Meta (Llama 3 training data) and X Corp (children's data) (ANPD, 2025).

However, ANPD's expertise and institutional culture are grounded in **data security, not algorithmic accountability**. These require fundamentally different technical skills: auditing a machine learning

model for demographic bias is not the same as investigating a data breach. ANPD currently has neither the specialised AI audit methodology nor the technical staff for the former. Research explicitly warns that ANPD "operates with limited resources and jurisdiction" and that "the proposed AI regulatory authority remains underfunded and underdefined" (Serra, Scafuto & Serra Vieira, BAR 2025). Every enforcement action to date has addressed data security — not one has addressed algorithmic fairness or disparate demographic impact.

### **TCU: The Accountability Auditor**

The Federal Court of Accounts (TCU) has produced the only substantive government-initiated AI audit to date: its 2023 examination of the INSS Isaac system, which documented governance failures in detail. In July 2024, TCU issued non-binding Ethical Guidelines for AI in Public Administration. These are meaningful contributions. But TCU's role is **structurally reactive** — the INSS audit came after the system had caused harm at scale. There is no mechanism requiring agencies to submit AI systems for review before deployment. TCU can compel corrective action once a problem is discovered; it cannot prevent a problematic system from launching (TCU, 2023; TCU, 2024).

### **The Judiciary Exception: CNJ Resolution 615/2025**

One sector stands apart. The National Council of Justice (CNJ) issued Resolution 615/2025, which provides detailed binding requirements for courts: mandatory AI system registration in the 'Sinapses' platform, external audits for high-risk judicial applications, prohibitions on personality profiling, and mandatory human oversight. This is Brazil's most operationally rigorous sector-specific AI governance instrument. However, its scope is explicitly limited to the judiciary — law enforcement, prosecution, and executive agencies operating alongside courts are excluded (Conectas & CESeC, 2025). The very institutions deploying facial recognition in policing fall outside it.

### **Sectoral Regulators and the Missing Coordination Layer**

Sectoral regulators — BACEN in finance, ANVISA in health, ANATEL in telecoms, CVM in capital markets — are developing AI guidance unevenly and without coordination. The AI Bill proposes creating a CRIA inter-agency council to align guidance across sectors; as of early 2026, it exists only in the bill's text. The Interministerial Committee for Digital Transformation (CITDigital, Decreto 12.308/2024) centralises digital governance but does not function as an AI-specific oversight body. The result is a governance landscape fragmented horizontally across sectors and vertically across federal, state, and municipal levels (Chambers & Partners, 2025; White & Case, 2025).

### **Civil Society: An Underdeveloped Watchdog**

Organisations such as Coalizão Direitos na Rede, Instituto Beta, and Transparência Brasil engage actively with AI governance but lack technical infrastructure, funding, and legal standing to conduct formal algorithmic audits. There is no independent algorithmic audit institution in Brazil, no standardised audit methodology, and no legal framework compelling AI operators to disclose model documentation to external reviewers. The populations most affected by public sector AI — poor Brazilians, racial minorities, residents of the North and Northeast, indigenous and quilombola communities — have the least representation in the governance processes shaping those systems. Other pending legislation includes attempts to regulate social media and instant messaging platforms, sometimes called the "Fake News Bill." Efforts in 2023 and 2024 to pass such legislation have proven controversial and have not yet succeeded, though the topic may be revisited in 2026. These proposals navigate the tension between platform regulation for combating disinformation and protecting freedom of expression, reflecting broader debates about content moderation, user data protection, and platform accountability.

## **How the Legal Framework Fits Together**

The Marco Civil provides the foundational framework for internet governance, establishing principles like net neutrality and requirements for judicial oversight of content removal. The LGPD builds on this foundation by providing comprehensive data protection rules that apply to AI systems processing personal data. ANPD actively enforces LGPD provisions related to AI, as demonstrated by the Meta case, even before comprehensive AI legislation is enacted. When PL 2338/2023 becomes law, it will create a third layer specifically addressing AI systems, their risk classifications, transparency requirements, and governance mechanisms. The new AI law will need to work in harmony with both the Marco Civil and LGPD, creating a comprehensive but potentially complex regulatory landscape. Sector-specific guidance from ministries and regulatory agencies adds additional requirements on top of this general framework.

This multi-layered approach reflects Brazil's deliberate choice to balance innovation with protection of fundamental rights, drawing on international best practices while adapting them to Brazilian context and priorities. However, it also creates implementation challenges, requires significant coordination among multiple agencies, and may create uncertainty for companies and organizations working to comply with overlapping requirements. Understanding this legislative landscape is essential for BRAVA Foundation and the SIPA team as they consider strategic opportunities for philanthropic intervention in Brazil's AI ecosystem.

## **AI Strategy and Investment**

Brazil has launched ambitious AI initiatives including the Brazilian National AI Strategy (EBIA, 2021) and the Brazilian AI Plan 2024-2028, which commits BRL 23 billion (approximately \$4 billion) over four years. The plan focuses on infrastructure development, capacity building, public service improvement, business innovation, and regulatory governance. Flagship projects include upgrading the Santos Dumont supercomputer to rank among the world's top five and developing a Portuguese-language large language model. The Ministry of Science, Technology and Innovation (MCTI) leads AI strategy coordination, while the National Data Protection Authority (ANPD) enforces data protection requirements increasingly relevant to AI applications.

Brazil's strengths in AI development include hosting the majority of Latin America's AI startups, being the largest recipient of private AI investment in the region, having the world's second-highest rate of daily internet use, and maintaining strong fintech and e-commerce ecosystems. The country has established research institutions, university partnerships, and 11 competence centers for AI. Brazil participates actively in international AI standardization efforts and has implemented open data policies and e-participation frameworks. These factors position Brazil as a potential regional trendsetter for AI regulation and development.

However, critical challenges threaten to undermine Brazil's AI ambitions. The digital divide remains stark, with significant disparities between urban and rural areas, wealthy and poor regions, and gender-based inequalities in STEM education. While wealthy regions like Santa Catarina outperform some OECD countries in connectivity, the poorest regions such as Acre, Amazonas, and Maranhão lag significantly behind. Despite nearly \$28 billion invested in telecommunications since 2020, internet access directly correlates with income inequality, and equity gaps persist. The wealthiest 20% of Brazilian households are twice as likely to complete secondary education as the poorest 20%, creating long-term disparities in digital skills and opportunities.

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